(5) Federal Taxes on Income

The Trust is taxed as if it were a corporation. Total income tax expense differed from the amounts computed by applying the U.S. Federal income tax rate of 34% to income before Federal income taxes as a result of the following:

	2005	2004	2003
Computed tax expense at the statutory rate	$ 4,138,728	$ 8,762,628	$ 2,582,383
Reduction in income taxes resulting from:			
Statutory depletion	(451,152)	(354,514)	(297,114)
Other, net	(27,435)	(48,637)	(20,177)
	$ 3,660,141	$ 8,359,477	$ 2,265,092

The tax effects of temporary differences that give rise to significant portions of the deferred tax liabilities at December 31, 2005 and 2004 are as follows:

	2005	2004
Basis differences in real estate acquired through foreclosure	$ 451,233	$ 451,242
Deferred installment revenue on land sales for tax purposes	6,357,257	7,386,401
Total deferred tax liability	$ 6,808,490	$ 7,837,643